After Equilibrium: Expectation Mismatch, Real Deindustrialization, and the Roots of Anti-globalization Politics [*initial draft]

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Abstract

Why does backlash against free trade often intensify after liberalization matures rather than at the moment of greatest initial exposure? Existing accounts emphasize losses among import-competing groups, sociotropic anxieties, or elite cueing, but they do not fully explain why support for openness erodes among policymakers long committed to it, nor why skepticism broadens across party lines. I argue that trade politics become unstable when globalization appears to threaten the sectors expected to justify openness in the first place. Conventional trade-politics theories inherit a pre-equilibrium logic from comparative-advantage models: states tolerate adjustment because specialization should ultimately reward their advantage sectors, even if disadvantage sectors contract. Yet when globalization matures, partner upgrading, production networks, technology diffusion, and state-backed distortions can threaten those sectors instead. This generates an expectation mismatch: trade no longer appears to reward the sectors that had legitimated openness, and elites begin to reinterpret it as unfair, developmentally harmful, and politically unsustainable. I test this theory in the context of U.S. trade politics. Drawing on congressional speeches, sector-level evidence on tariff targeting, U.S.-Japan and U.S.-China trade wars, and survey evidence, I show that backlash is strongest when perceived threats reach incumbent advantage sectors, especially under systemic rivalry. The findings shift the study of trade politics from the distributional consequences of pre-liberalization to the political sustainability of openness under mature globalization.

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1 Introduction

Why has globalization, especially free trade, become harder to sustain in its maturity than in its rise? Over the past decade, skepticism toward trade openness has intensified across advanced democracies and, in the United States, spread across party lines. Republicans who once defended liberalization now endorse tariffs and industrial policy; Democrats long attentive to adjustment costs increasingly converge on similar instruments. If backlash were driven mainly by losses among import-competing groups, opposition should have been strongest earlier, when trade opening first displaced vulnerable sectors and workers. Instead, anti-trade politics has broadened and intensified after liberalization matured.

Existing explanations illuminate parts of this story but not its central shift. Distributional accounts derived from Ricardo-Viner, Heckscher-Ohlin, and related political-economy frameworks explain why import competition creates losers and political demand for compensation or protection. Sociotropic accounts explain how trade shocks become linked to perceptions of national decline. Elite-cue theories show that publics often follow partisan or informational signals rather than detailed material interests. Yet these approaches leave a central question unresolved: Why did elites move from defending trade while managing adjustment to questioning the trade bargain more broadly?

This paper argues that trade backlash intensifies when globalization appears to threaten the sectors that had justified openness in the first place. Conventional trade-politics theories are strongest at explaining the politics of initial liberalization: who loses from liberalization, how adjustment costs are distributed, and when governments compensate or protect those groups. In that setting, even trade distortions are often politically absorbed within a logic of managed transition, because the sectors under pressure are widely understood to be those least likely to benefit from openness. My theory explains a different stage of trade politics. Backlash intensifies when policymakers perceive that globalization is threatening the sectors that had justified openness in the first place. At that point, distortions no longer appear as tolerable imperfections of adjustment; they appear as evidence that the bargain itself is failing. Under conditions of technological diffusion, global production networks, persistent external imbalances, and state-backed industrial upgrading, trading partners can move into sectors long understood as advanced economies' strengths. When that

occurs, policymakers no longer interpret trade merely as a source of localized pain. They begin to see it as undermining the very sectors that were supposed to secure long-run national gains.

I call this dynamic "after equilibrium" The term refers not to a literal empirical endpoint but to a political-economic phase: the period after the initial distributive bargain of liberalization is presumed to have stabilized, yet competitive pressures continue reshaping sectoral advantage. In that phase, the erosion or threatened erosion of incumbent advantage sectors generates an expectation mismatch. Trade had been defended on the expectation that those sectors would expand, export, and anchor national prosperity. When they appear newly vulnerable, elites interpret the gap between expected and observed outcomes not as routine adjustment, but as evidence that the bargain itself has broken down.

This argument yields a simple implication. Trade backlash should be muted when liberalization primarily harms disadvantage sectors, because such losses remain broadly consistent with the original bargain and are often managed through compensation, regional adjustment, or limited protection. Backlash should intensify when perceived threats reach incumbent advantage sectors. Where those threats appear bounded, governments should favor targeted protection. Where they appear systemic, as in the case of a rival upgrading across multiple strategic and high-value sectors, backlash should become broader, more bipartisan, and more willing to abandon prior free-trade commitments.

I develop and test this argument in the United States, although it can extend beyond. I first analyze congressional speeches on trade from 1990 to 2024 to show how elite rhetoric shifts from technocratic discussion of efficiency and adjustment toward narratives of deindustrialization, unfairness, and national decline. I then examine sector-level tariff targeting to assess whether protection concentrates in sectors associated with perceived national strength rather than only in conventionally disadvantaged sectors. Next, I compare U.S.-Japan trade conflict in the 1980s and 1990s with U.S.-China trade conflict in the 2010s and 2020s to show how the move from sectoral to systemic threat changes the form of backlash. Together, these analyses show that the politics of trade are not governed only by who loses from initial liberalization. They are also governed by whether globalization continues to reward the sectors that originally justified openness.

The article makes three contributions. First, it offers a theory of trade backlash centered not on losses among expected losers, but on threats to expected winners. Second, it reconceptualizes

the political durability of openness as conditional: support for liberalization depends not only on aggregate gains or compensating losers, but on whether globalization continues to reward the sectors that originally legitimized it. Third, it connects long-run structural transformations in the world economy to elite belief revision and policy change. Rather than treating trade attitudes as static responses to exposure, it shows how the meaning of trade itself changes over time.

The rest of the article proceeds as follows. Section 2 develops the theory of expectation mismatch under after equilibrium and distinguishes it from standard winner-loser, sociotropic, and elite-cue accounts. Section 3 presents the research design. Sections 4 through 6 examine elite discourse, policy behavior, and comparative historical evidence. Section 7 concludes by discussing what the argument implies for the political sustainability of openness under mature globalization.

2 A Theory of Expectation Mismatch

Conventional trade-politics theories are strongest when explaining the politics of initial liberalization. They begin from a world in which trade opening moves economies from relative closure toward specialization, generating concentrated losses in some sectors but wider gains overall. Politics under this view concerns how societies distribute those losses, how losers mobilize, and whether governments compensate or protect them. The underlying expectation is that, once transition costs are absorbed, openness remains politically defensible because it continues rewarding the sectors in which the country holds comparative advantage.

This framework has substantial explanatory power. It captures why import-competing groups demand protection, why exposure shapes preferences, and why governments sometimes face pressure to cushion or delay adjustment. But its logic is temporally bounded. It is well suited to the politics of opening up; it is less suited to the politics of sustaining openness over time. In particular, it assumes that the sectors expected to justify liberalization continue to do so. That assumption often remains implicit, but it is central. Without it, the political bargain underlying trade openness looks far less stable.

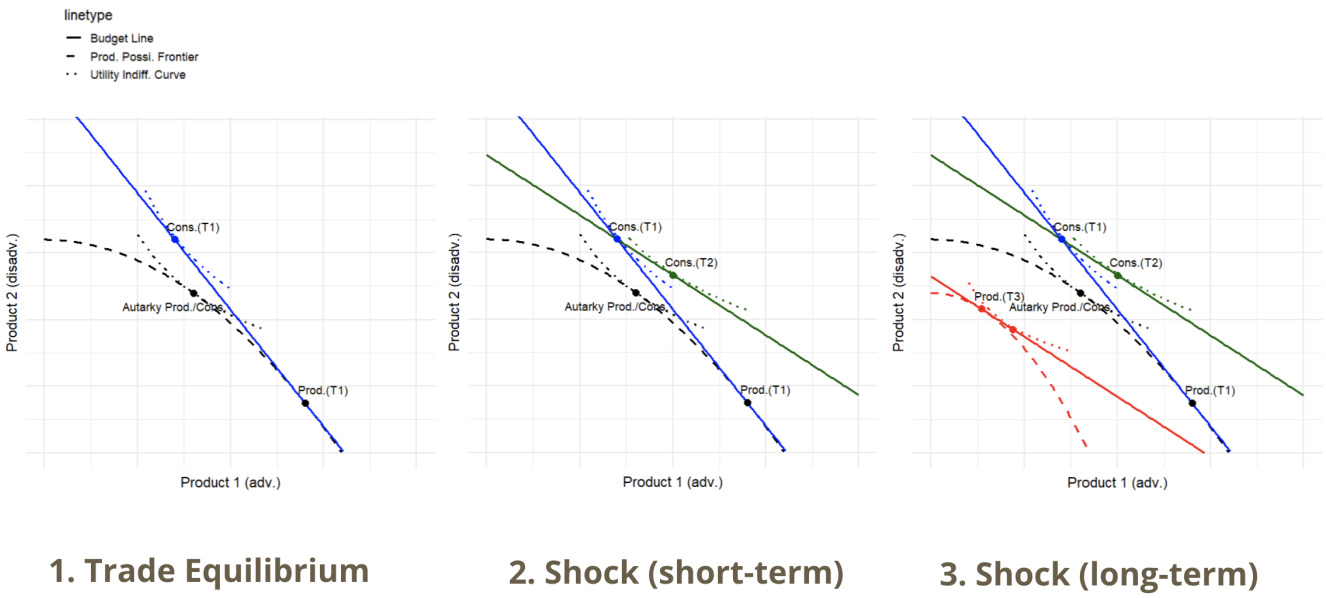

Figure 1: Illustration: Utility Change during"After Equilibrium"

Figure 6 shows that losing advantage sectors completely nullify trade gains by lowering a country's production levels. Naturally, this post-equilibrium dynamic generates skepticism and opposition. Politically, it activates cross-class coalitions: workers, firms, and regional elites that once benefited from globalization now perceive future losses as systemic rather than sectoral. Of course, national-level elites perceive it as a national economic threat. Ideologically, it delegitimizes the narrative of mutual gain that underpinned free trade. Free trade becomes not an engine of efficiency but a non-starter: a policy in which further openness appears self-defeating.

My argument begins where that logic tapers off. Under mature globalization, comparative advantage is not simply realized and then politically taken for granted. It is continually reshaped by learning, production relocation, technology diffusion, persistent imbalances, and state-backed industrial policy. In such a setting, the sectors once expected to anchor national gains can themselves come under pressure. When a state has already surrendered many of its disadvantage sectors, that development becomes politically consequential. It creates the perception of double exposure: the old sectors are gone, and the sectors meant to justify openness no longer appear secure.

That is the logic of after equilibrium. The concept captures the phase in which the initial bargain of liberalization appears settled, yet the underlying assumptions that supported it begin to erode. In this phase, policymakers experience an expectation mismatch between what trade was

supposed to deliver and what it now appears to be doing. Trade had been supported because it promised durable gains in sectors understood as national strengths. When those sectors appear threatened, elites no longer read trade as a bargain with manageable costs. They increasingly read it as evidence that the bargain itself has failed.

The mechanism is straightforward. Support for trade depends not only on tolerating losses in weak sectors, but also on confidence that strong sectors will continue to validate the bargain. Once policymakers perceive that globalization is threatening those sectors instead, elite interpretation shifts. Trade is no longer seen primarily as a source of localized adjustment costs. It is reinterpreted as unfair, harmful to national development, and politically unsafe to defend. The result is not merely more opposition from conventional losers. It is a broader erosion of elite support for openness.

This mechanism yields two main expectations. First, backlash should be weaker when liberalization primarily harms disadvantage sectors than when it threatens incumbent advantage sectors. Second, the scale of backlash should depend on the scope of the perceived threat. When threats are limited to particular sectors, governments can respond with targeted protection or managed trade. When the threat appears systemic—because a rival is upgrading across many strategic and high-value sectors at once—the response is more likely to become broad-based, bipartisan, and durable.

This argument differs from existing accounts in three ways. Unlike standard winner-loser theories, it explains backlash among actors not located in conventionally disadvantaged sectors. Unlike elite-cue theories, it explains why elite views themselves change. Unlike broad sociotropic or security-based accounts, it specifies the mechanism linking structural economic change to political reinterpretation: backlash intensifies when globalization appears to undermine the sectors that had served as the political justification for openness.

3 Empirical Analysis

I test the argument in the United States, a case that is particularly appropriate for three reasons. First, the United States was the principal architect and long-time defender of postwar trade openness. Second, it exhibits a clear partisan and temporal reversal in elite trade rhetoric. Third, it provides variation across sectors and across trade conflicts that allows the mechanism to be

examined from multiple angles.

The congressional speech analysis establishes the temporal shift in elite interpretation of trade. The tariff analysis tests whether policy behavior concentrates in advantage rather than only in sectors conventionally understood as vulnerable. The comparison of U.S.-Japan and U.S.-China trade conflict then examines the more detailed evidence. An public opinion experimentation seeks to understand individual-level dynamics. Each section tests the same claim: trade backlash becomes stronger when policymakers believe globalization is threatening the sectors that had justified openness.

The article studies perceived advantage-sector threat, not only realized sectoral decline. That distinction matters because policymakers often act before complete displacement occurs. For present purposes, an advantage sector is one understood by elites as central to the country's competitive strength, technological edge, or industrial base. What matters theoretically is not only whether a sector is objectively strong, but whether it is treated as part of the bargain that makes trade worthwhile.

3.1 Elite Discourse: Congressional Speech, 1990–2024

I begin with elite discourse because the theory is centrally about how policymakers reinterpret trade. If the argument is correct, congressional rhetoric should not merely become more negative over time. It should become negative in a specific way: less focused on transitional adjustment and more focused on deindustrialization, unfairness, and the erosion of national strengths.

To assess this, I analyze U.S. congressional speeches on trade from 1990 to 2024. The rhetoric reflects the underlying trade preferences of policymakers. The broad pattern is a temporal and bipartisan shift away from technocratic trade talk and toward concern over manufacturing decline, lost good-paying jobs, unfair competition, and national economic weakening. In the 1990s and early 2000s, trade discourse remains more technocratic and partisan. Democrats more often emphasize regional and labor costs, while Republicans more often stress growth and efficiency. After 2010, however, skepticism rises across both parties and increasingly converges on a common deindustrialization frame.

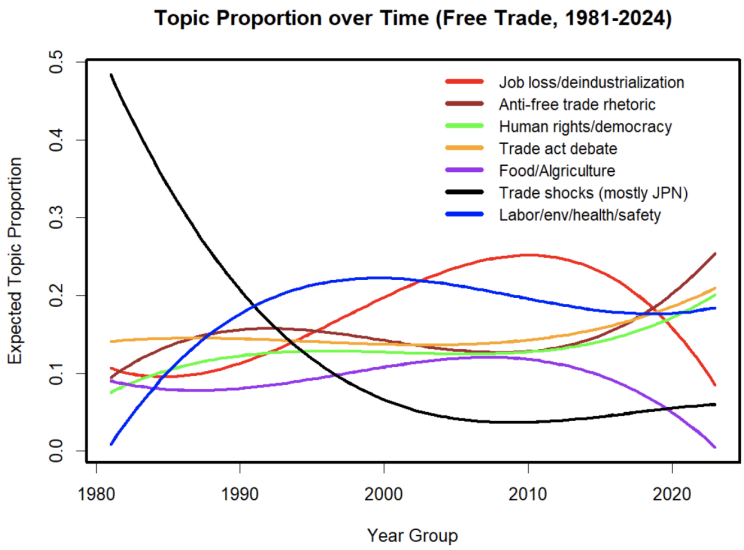

Figure 2: Trade Topic Trends: Congressional Speech

This shift is theoretically significant. It indicates not only that opposition to trade increased, but that the meaning of trade changed. Trade is no longer framed chiefly as a source of local dislocation or as a matter of redistributive conflict. It is increasingly described as a source of national weakening. The recurring rhetoric of "hollowing out," "lost good jobs," "unfair trade," and "industrial decline" is consistent with the expectation-mismatch argument: elites are no longer treating trade as a bargain that mostly works despite adjustment costs. They are increasingly treating it as a bargain that is failing in the sectors that were supposed to justify it.

The speech evidence also helps distinguish the argument from competing explanations. If anti-trade rhetoric were driven mainly by a generic rise in security concern, security frames should dominate the shift. If it were driven only by traditional loser politics, rhetoric should remain concentrated around conventionally disadvantaged sectors. Instead, the dominant rhetorical turn is toward deindustrialization and the erosion of sectors associated with national strength. That is the pattern the theory predicts.

Topic-proportion analysis indicates that "manufacturing decline" becomes the dominant latent theme after 2010, while traditional security and human-rights frames stagnate. The bipartisan rise in anti-trade sentiment correlates closely with empirical indicators of real manufacturing contraction—particularly in high-value-added sectors once considered U.S. strengths. This rhetorical convergence supports the after-equilibrium logic: discontent expands when formerly advantaged

industries experience visible erosion.

In sum, bipartisan concerns over unfair trade, losing good-paying jobs, and deindustrialization dominate all other concerns about trade around the early 2010s. Logically, losing advantage sectors should prompt all these concerns which are unlikely for disadvantage sectors especially for national leaders. We do observe many concerns are around advantage sectors such as automobiles. As concerns reach some level, anti-free trade rhetoric (dormant between 1995/WTO and early 2010s) spikes. No other major competing factors such as security, geopolitics, inequality, etc are as salient. Human rights, econ security, etc later were framed as justifying anti-free trade views.

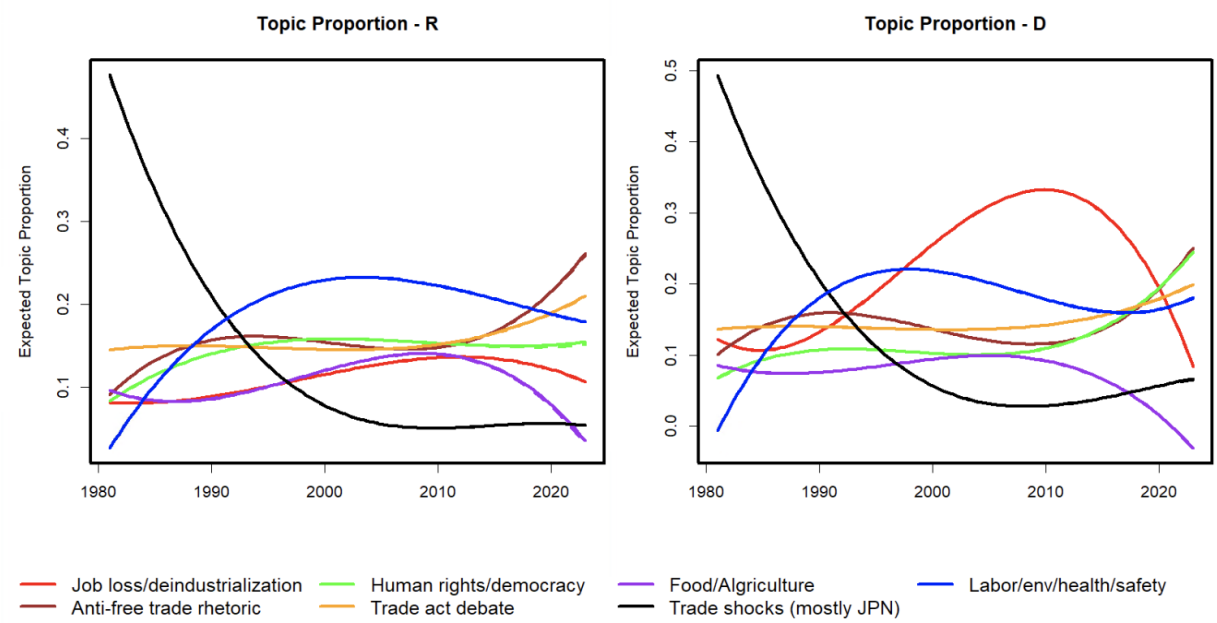

Figure 3: Trade Topic Trends: Congressional Speech (by Party)

Republicans (establishment, although intra-party dissents from Midwestern regions) were generally pro-free trade until the early 2010s and TEA party/Trump to become anti-free trade. Dems were historically more protectionist. Both parties similarly concerned Japan's trade shocks (even R like Reagan). From 1992 to 2012, rust belt states mostly voted Dems. So gop red line is mild, also b/c displaced sectors were disadv. Trump's anti-trade stance largely comes from concerns over deindus. (e.g. tariffs on semi/steel/cars) and mercantilism (e.g., trade deficit) by trading partners. Anti-trade views can quickly spread to establishment if deindus goes deeper.

Examples:

"... we are not going to have a strong economy unless we have a strong manufacturing capability. unless companies are reinvesting in Colorado or Vermont. creating good jobs here... " (GY: creating good jobs/strong mfg refer to adv sectors in trade; cannot refer to disadv. sectors)

"... This raw deal would be particularly bad for my district and districts around the country that support our domestic auto industry, auto suppliers and parts makers... "

"(in 1997) ...and there is some reason to fear that in 10 or 20 years. Detroit and automobile production in this country will be diminished as car manufacturing moves to China. ..."

"...The titans who run these global transnational corporations. their operatives. and the Wall Street giants that finance them couldnt care less about workers anywhere or the communities in which they live... " (GY: refer to GVC)

By looking into details, corpus examples reveal that legislators increasingly describe trade not as an external relation but as an internal governance failure—phrases such as "we gave away our supply chains" or "we hollowed out the heartland" treat globalization as a self-inflicted vulnerability. This self-referential blame dynamic marks the shift from sectoral loss to systemic grievance.

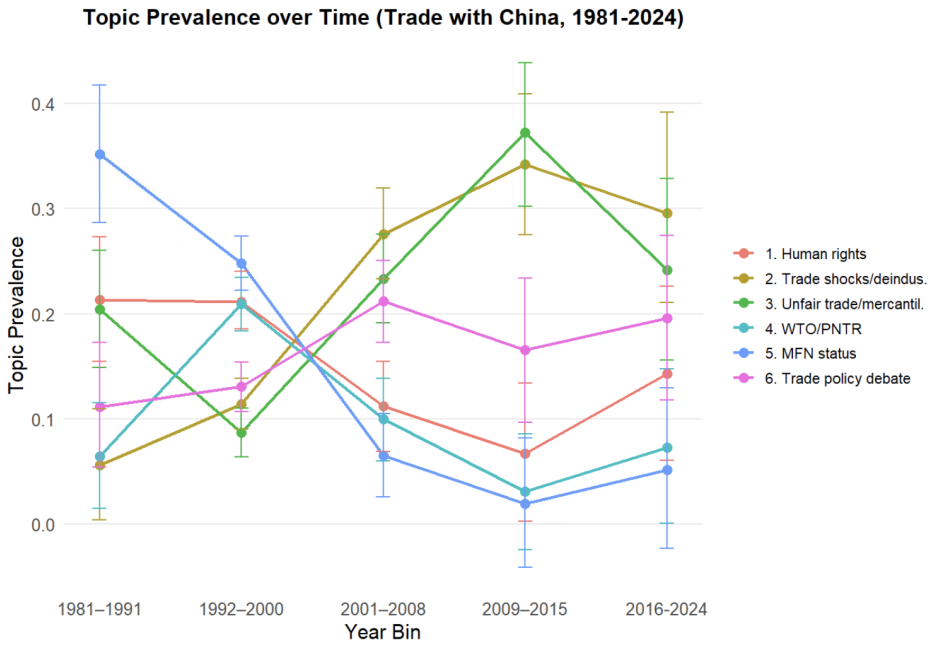

Figure 4: Trade Topic Trends: on China

Examples

"...If the United States is to remain a major industrial power. producing real products and

creating goodpaying jobs. we cannot continue the failed, unfettered free trade policies"

"...Chinese imports did overwhelm U.S. industry. The Cato Institute was dead wrong."

"..."We will buy American airplanes only if they are manufactured in China." It is another way of saying. "We want to trade with you. but we want American. jobs to move to China." That is not fair trade."

"... In fact. we were told that permanent normal trade relations with China would create hundreds of thousands of American jobs. Well. not quite. [GY: expect adv. sectors exporting...]"

"...China tilts the playing field against American firms, innovators, and workers and gets the technology they need to leapfrog the competition."

"...Now General Motors says a Chinese firm knocked off an entire vehicleand Americans could soon start buying its cars. . . "

3.2 Sector-level Trade Protection

Elite reinterpretation matters politically only if it affects policy. I therefore turn to sector-level tariff behavior. The central question is whether contemporary protection concentrates in sectors associated with perceived national strength rather than merely in sectors exposed to import competition in the conventional sense.

The expectation is not simply that threatened sectors receive protection. It is that protection should be especially likely where policymakers see foreign competition as reaching into the sectors that had justified openness in the first place. If the argument is correct, tariff targeting should not map cleanly onto simple loser politics. It should instead be disproportionately visible in sectors tied to U.S. advantage, especially where those sectors are embedded in broader concerns over foreign upgrading and industrial rivalry.

That is precisely the implication of the expectation-mismatch framework. Once trade is reinterpreted as threatening advantage sectors, policymakers face a different political logic. Protection is no longer merely a concession to concentrated losers. It becomes a defense of the national sectors thought to anchor prosperity, innovation, and strategic capacity. Tariff policy thus offers a behavioral test of the broader argument: when elites believe that globalization is threatening expected winners, the policy response should shift accordingly.

Data and Sample

The analysis proceeds at the unit level of the six-digit Harmonized System (HS-6) product — the finest classification at which consistent bilateral trade data are available over time. The unit of observation is a manufactured product, defined as HS chapters 28 through 96, excluding agriculture (chapters 01–24), mineral fuels (chapter 27), and other primary commodities, which are governed by distinct political economy logics and are largely absent from China's industrial policy program (Autor, Dorn, and Hanson 2013).

Trade flow data come from the BACI international trade database, Version 202401b (Gaulier and Zignago 2010), which harmonizes import and export declarations from United Nations Comtrade to construct consistent bilateral matrices for more than 200 countries at the HS-6 level annually from 1995 through 2022. BACI reconciles discrepancies between reported import and export values — which arise from differences in valuation conventions and mis-invoicing — producing a symmetric matrix that is particularly well-suited to measuring comparative advantage, since the Balassa index requires a reliable world export total as denominator. All trade values are expressed in thousands of current US dollars.

The pre-period for measuring comparative advantage spans 2001–2007, the years between China's WTO accession (December 2001) and the onset of the global financial crisis. This window captures the phase during which the China shock in US manufacturing was most acute and expectations about sector-level competitiveness were being revised (Autor, Dorn, and Hanson 2013; Pierce and Schott 2016). A post-period covering 2016–2018 — the three years immediately preceding the formal Section 301 announcement of July 2018 — is used to measure the realized change in US comparative advantage following the shock. I restrict it to manufacturing products with non-missing pre-period BACI coverage and completing the concordance to the tariff lists.

Dependent Variable

The dependent variable, Targeted_k, is a binary indicator equal to one if HS-6 product k was included on Section 301 List 1, announced July 6, 2018 ($34 billion, targeting 279 product lines in MIC2025-aligned sectors), or List 2, announced August 23, 2018 ($16 billion, extending coverage to a broader range of Chinese exports), and zero otherwise. List classifications are drawn from

the USTR Federal Register notices, which enumerate targeted products at the HTS-8 level. The USTR published Section 301 Lists 1 and 2 at the 8-digit HTS level — the most granular level of the U.S. tariff schedule, distinguishing among roughly 10,000 product lines. Within manufacturing (HS chapters 28–96) alone, approximately 4,000 eligible lines existed, of which roughly 1,300 were affirmatively selected. This specificity is itself theoretically meaningful: rather than targeting broad sectors or industries, policymakers selected individual product lines, suggesting the targeting reflects deliberate, product-specific judgments rather than blunt sectoral protection.

Lists 1 and 2 of the Section 301 action in July and August 2018 — represent the cleanest test of strategic product selection. Prior antidumping and countervailing duty orders respond to a legally distinct rationale: demonstrated material injury from below-cost pricing in import-competing sectors, not displacement of established export strengths. Both Section 301 lists were compiled under the same USTR (2018) rationale targeting technology transfer and "Made in China 2025" sectors, and both explicitly excluded consumer goods. Subsequent lists departed from this logic: Lists 3 and 4 expanded coverage to $200 billion and $300 billion respectively, progressively relaxing the consumer goods exclusion as the trade war escalated into a broader tit-for-tat exchange designed to maximize bilateral leverage. I therefore restrict the analysis to Lists 1 and 2, where product selection most directly reflects the expectation-mismatch mechanism before escalation dynamics displaced comparative advantage logic as the organizing principle of tariff design. I map these to the HS-6 level by truncating each HTS-8 code to its first six digits and construct a concordance from 2017 HS to the HS-1992 revision used by BACI, following the procedure described in Pierce and Schott (2012).

The product selection underlying Lists 1 and 2 is reasonably immune to firm-level lobbying for two reasons. The lists were compiled through a top-down USTR interagency process anchored to the March 2018 Section 301 investigation report, working downward from MIC 2025 sector categories to specific HS-8 lines rather than aggregating upward from industry petitions as in antidumping proceedings. Public comment ran against inclusion — firms lobbied for exclusion as downstream users of Chinese inputs, and USTR denied most requests, producing final lists shorter than the initial proposals. Lists 3 and 4, by contrast, generated over 50,000 firm-level exclusion requests, precisely where lobbying influence concentrates. Restricting the analysis to Lists 1 and 2 therefore minimizes the risk that product selection reflects particularistic political pressure rather than the

strategic comparative advantage logic the theory predicts.

For supplementary analysis, I disaggregate the combined indicator into List-1-specific (List1_k) and List-2-specific (List2_k) dependent variables. Because the lists overlap — some products appear on both — I restrict the List-1 estimation sample to products not exclusively on List 2, and vice versa, to ensure that products targeted by the other instrument are not misclassified as untargeted controls (Bown 2019). If the CA-defense mechanism operates most strongly through the deliberate strategic targeting that characterized List 1, the coefficient should be larger there than in the broader List 2 sweep.

Key Independent Variable: Stable Comparative Advantage

The central explanatory variable, StableCA_k, captures whether product k represented a sector of durable US comparative advantage in the pre-shock window. I operationalize comparative advantage using the revealed comparative advantage (RCA) index proposed by Balassa (1965):

$$\text{RCA}_{k,t} = \frac{X_{\text{US},k,t} \,/\, X_{\text{US},t}}{X_{W,k,t} \,/\, X_{W,t}}$$

where $X_{\text{US},k,t}$ denotes total US exports of product k in year t, $X_{\text{US},t}$ total US manufacturing exports, $X_{W,k,t}$ world exports of product k, and $X_{W,t}$ total world manufacturing exports. RCA values above one indicate that the US exports product k at a higher share of its total export portfolio than the world average, the conventional threshold for revealed comparative advantage (Balassa 1965; Leromain and Orefice 2014). I compute equation (1) annually for each HS-6 product over 2001–2007 using the full BACI bilateral trade matrix, summing across all trading partners for both US and world aggregates.

StableCA_k is then coded one if two conditions hold jointly: (i) the mean Balassa RCA over 2001–2007 is at least 1.0, establishing that the sector had genuine comparative advantage on average; and (ii) the within-period change ($\text{RCA}_{2007} - \text{RCA}_{2001}$) is no less than -0.10 RCA points, establishing that the advantage was not rapidly eroding during the pre-period itself. This joint criterion identifies products where the US both possessed and could plausibly expect to maintain comparative advantage — the necessary condition for expectation mismatch when the China shock threatened that standing. Products that were already losing their advantage before the shock

generate weaker expectations of continued competitiveness and therefore weaker political demand for protection when that decline accelerates. Appendix Table A1 shows that the main results are robust to thresholds of -0.05 and -0.20 RCA points.

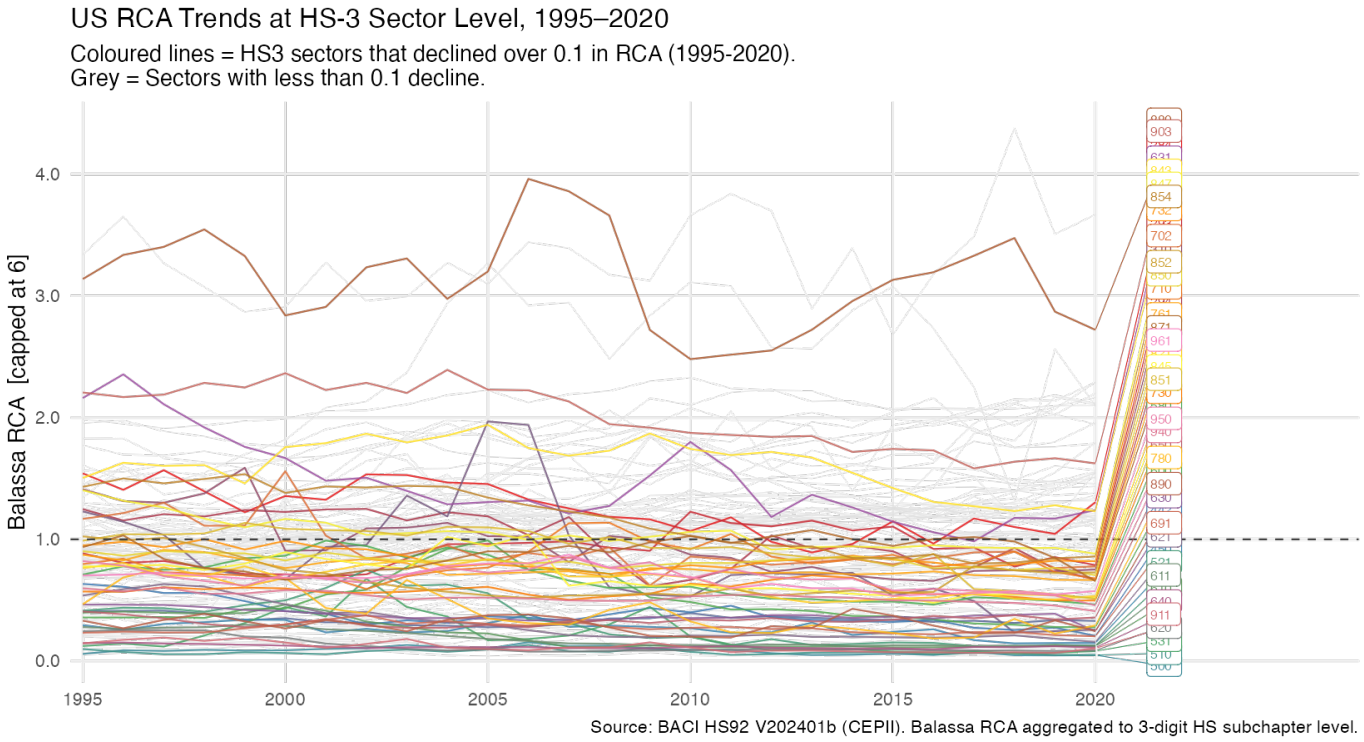

Figure 5: US RCA Trends at HS-3 Sector Level, 1995–2020. Note: The majority of declined sectors are U.S. disadvantage sectors, which saw the declining trends mostly in 2000-2010 before plateauing.

Controls

I include eight controls organized into three groups, each addressing a distinct alternative explanation for the CA-targeting correlation.

Sector type. Log US export value of product k averaged over 2001–2007 ($\log \bar{X}_{\text{US},k}$) controls for the possibility that larger, more politically organized industries attract protection independent of comparative advantage structure (Grossman and Helpman 1994). Products with higher export revenues can sustain more intensive lobbying and are more likely to be prioritized by peak industry associations. I additionally include log world exports in product k — capturing global market size — and log US imports of product k — capturing import-competing domestic exposure. Together,

these three controls absorb variation in product salience that is correlated with trade volumes but orthogonal to the theoretical mechanism. I also control for log sector value-added, employment, and TFP from the NBER-CES Manufacturing Industry Database to rule out the possibility that the comparative advantage measure is merely proxying for high-productivity or output sectors.

China competition. Two controls directly address the primary alternative hypothesis: that USTR targeted whichever products China exported most, without reference to US comparative advantage. Mean China import share — the share of US imports of product k originating from China, averaged over 2001–2007 — captures the intensity of direct import competition in the US domestic market (Autor, Dorn, and Hanson 2013; Acemoglu et al. 2016). China's own Balassa RCA in product k over the same period captures China's revealed specialization, isolating sectors where Chinese producers hold a structural competitive advantage rather than a transient price advantage arising from undervaluation or temporary subsidies. Including both controls ensures that StableCA_k identifies the CA-defense mechanism rather than the simple correlation between US and Chinese specialization patterns — which are often inversely related, as China's rising advantage frequently coincides with US decline. I also control for log US exports to China in product k, capturing products where American exporters had active commercial exposure to the Chinese market and faced retaliatory risk if tariffs provoked a response.

Product type. Binary indicators for capital goods and consumer goods, constructed following the UN Broad Economic Categories (BEC) classification, control for the systematic avoidance of goods whose restriction would directly raise consumer prices or impede domestic capital formation. Tariffs on consumer goods generate concentrated, politically visible price increases; tariffs on capital goods raise costs for downstream manufacturing firms. Both product categories face distinct political economy pressures relative to intermediate goods (Hiscox 2002) and may be systematically under-represented on the tariff lists for reasons unrelated to comparative advantage.

In sum, I control for log US export value, log world exports, and log US imports to capture product-level market size and trade intensity; China's import share and China's Balassa RCA to account for Chinese competitive pressure and specialization in the same products; log US bilateral exports to China to proxy economic interdependence; capital and consumer good indicators (BEC classification) to address the USTR's explicit exclusion of consumer products from Lists 1 and 2; and log sector value-added and five-factor TFP.

Estimation Strategy

I estimate linear probability models (LPM) of the form:

$$\text{Targeted}_k = \alpha + \beta_1 \text{StableCA}_k + \beta_2 \text{MIC2025}_k + \beta_3 (\text{StableCA}_k \times \text{MIC2025}_k) + \mathbf{X}_k' \boldsymbol{\gamma} + \delta_{h(k)} + \varepsilon_k$$

where $h(k)$ denotes the HS-2 chapter to which product k belongs, $\delta_{h(k)}$ is a chapter fixed effect absorbed via the within-estimator, $\mathbf{X}_k$ is the vector of controls described above, and ε_k is an error term. Standard errors are heteroskedasticity-robust.

Chapter fixed effects are central to identification. Products within the same HS-2 chapter share technological characteristics, input-output linkages, and exposure to sector-wide political pressures. Absorbing chapter-level means removes all between-chapter confounders — including chapter-level employment, capital intensity, and the MIC2025 designation itself when treated as a main effect — and restricts identification to within-chapter variation in comparative advantage status. The coefficient β_1 therefore captures the additional probability that a product is targeted relative to other products in the same HS chapter with similar China exposure and trade size, but lacking stable comparative advantage. This is a demanding comparison: it rules out the possibility that results reflect chapter-level political organization or industry characteristics rather than product-level CA structure.

The interaction term $\text{StableCA}_k \times \text{MIC2025}_k$ tests whether the CA-defense mechanism is amplified in sectors contested under China's "Made in China 2025" (MIC2025) industrial policy plan. MIC2025 was specifically mentioned on the USTR website when it designates targeted sectors, indicating the perceived threat in the minds of policymakers. MIC2025_k equals one if product k belongs to one of the seven HS-2 chapters (84–90) that map to MIC2025 target sectors: numerically controlled machinery and robotics (HS 84), next-generation information technology and semiconductors (HS 85), advanced rail equipment (HS 86), new energy vehicles (HS 87), aerospace equipment (HS 88), ocean engineering and high-technology ships (HS 89), and biopharma instruments and medical devices (HS 90).[1]

[1] The interaction coefficient β_3 captures whether stable CA carries additional targeting probability in precisely the domains where China has declared its intention to displace US technological leadership — a two-factor logic in which expectation mismatch (the mechanism) is amplified by geopolitical contestation (the moderator).

Dependent Variable	List 1+2 (1)	List 1+2 (2)	List 1+2 (3)	List 1+2 (4)	List 1 (5)	List 2 (6)
Stable CA (01-07)	0.145***	0.078***	0.043***	−0.014	−0.030***	0.004
	(0.016)	(0.012)	(0.013)	(0.009)	(0.006)	(0.007)
Stable CA × MIC 2025				0.165***	0.189***	0.089**
				(0.033)	(0.034)	(0.044)
Controls	No	No	Yes	Yes	Yes	Yes
HS2 FE	No	Yes	Yes	Yes	Yes	Yes
N	4162	4162	4105	4105	3957	3611
R^2	0.025	0.507	0.563	0.569	0.558	0.462

* p < 0.1, ** p < 0.05, *** p < 0.01

Table 1: Comparative Advantage and the Targeting of Trump's Section 301 Tariffs. *Note:* LPM (feols). HC1 robust SEs in parentheses. *Stable CA*: mean Balassa RCA ≥ 1.0 and change ≥0.10, 2001–2007. *MIC 2025*: HS chapters 84–90 (USTR 2018). Controls: log export value, log world exports, log US imports, China import share, China RCA, log US–China exports, capital/consumer good indicators, value-added, TFP. Cols (5)–(6) exclude products on the opposite list. BACI HS92 V202401b (Gaulier and Zignago 2010).

I prefer the LPM to probit or logit for two reasons. First, binary outcome models with high-dimensional fixed effects suffer from the incidental parameters problem in nonlinear specifications, producing inconsistent estimates as the number of groups grows (Neyman and Scott 1948; Greene 2004). Second, LPM coefficients are directly interpretable as marginal probability differences without functional-form assumptions about the underlying latent variable, facilitating comparison across specifications and administrations (Angrist and Pischke 2009).

Table 1 presents results across six specifications. Column 1 establishes the unconditional association: products with stable pre-shock comparative advantage are 14.5 percentage points more likely to appear on Section 301 Lists 1 or 2. Column 2 introduces HS-2 chapter fixed effects. The coefficient falls modestly but remains consistently estimated, demonstrating that the effect is not driven by between-chapter heterogeneity. Within the same HS chapter, more advantaged products face systematically higher targeting probability.

Column 3 adds the full battery of controls. The StableCA coefficient is largely stable at 0.043. The stability of the CA coefficient across this transition — absorbing direct measures of Chinese

[1]This mapping follows USTR (2018, Annex C), which identifies MIC2025 sectors based on their overlap with the ten strategic industries named in China's State Council notice of May 2015 (State Council of the PRC 2015). I exclude new materials (HS chapters 28–29, 38, 72–76) from the MIC2025 indicator because those chapters encompass many non-strategic intermediate goods, introducing excessive measurement error in the sector classification (Wübbeke et al. 2016).

competitive exposure — is the key identification result: the CA-targeting relationship cannot be reduced to the sector-related characteristics.

Column 4 is the preferred specification. Outside MIC2025 chapters, products with stable comparative advantage are no more likely to be targeted. The interaction with MIC2025 is positive and significant, implying that the CA effect is amplified in the sectors perceived to face imminent threats from Chinese whole-of-society industrial policy. Evaluated at MIC2025 = 1, the total marginal effect of stable CA is 16.4 percentage points than other sectors, compared to null effect outside MIC2025 sectors. This gradient is consistent with the theoretical claim that expectation mismatch is most politically consequential precisely where advantage sectors are to face threats.

Columns 5 and 6 disaggregate by list. The StableCA coefficient for List 1 for MIC2025 sectors (0.186) is larger than the List 2 coefficient (0.93), consistent with the strategic logic. List 1 was designed around MIC2025 technology transfer concerns; List 2 extended coverage through a broader notice-and-comment process with greater industry input. That the CA-defense gradient is steeper in the more deliberate instrument, and shallower in the broader sweep, suggests the mechanism operates through policymakers' beliefs about competitive standing rather than through industry lobbying alone.

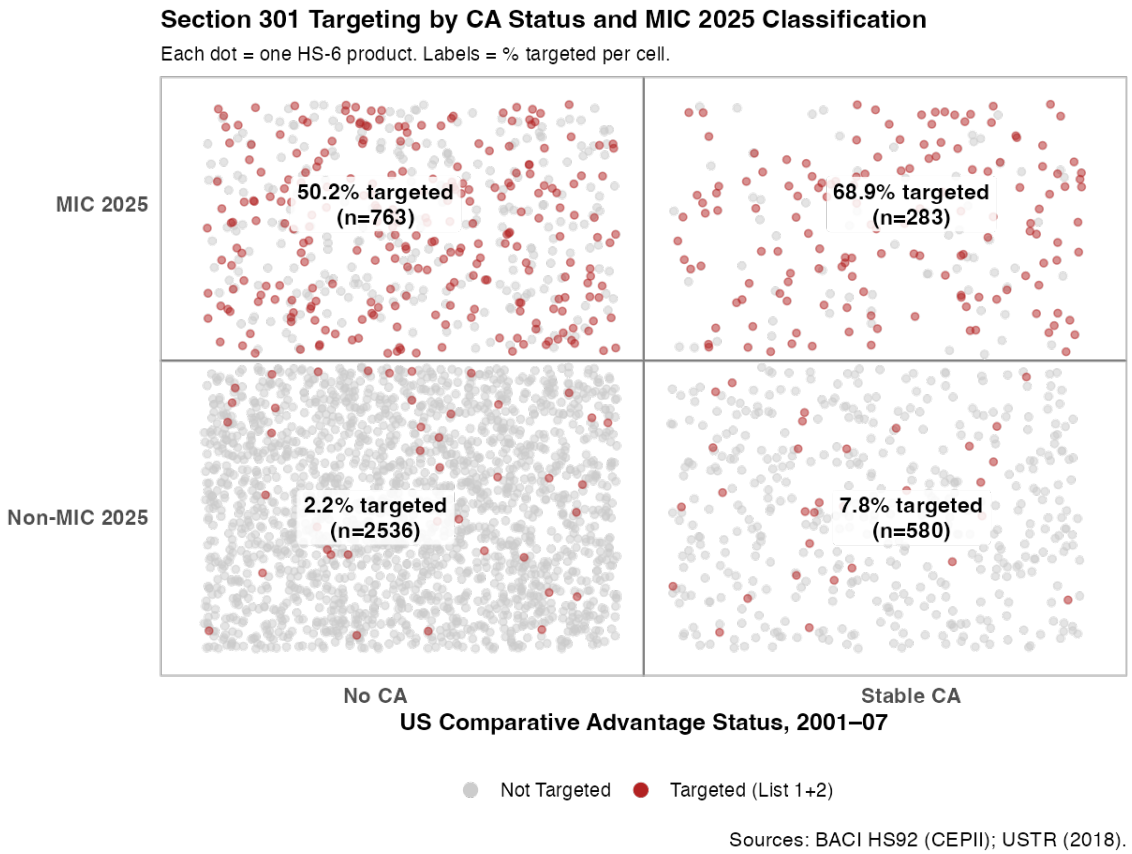

Figure 6: Section 301 Targeting by CA Status and MIC 2025 Classification

Placebo Tests

Table 2 examines whether the CA-defense mechanism generalizes beyond Section 301. Using the identical specification as Column 4, I estimate β_1 for three alternative dependent variables: products targeted by Biden's CHIPS Act semiconductor subsidies (August 2022), products targeted by Biden's IRA advanced manufacturing credits (August 2022), and products subject to Trump's Section 232 steel and aluminum tariffs (March 2018).

No alternative instrument generates a significant StableCA coefficient (Table 2, Columns 2–4). This null pattern is theoretically predicted rather than anomalous. The CHIPS Act concentrates investment in integrated circuits (HS 8541–8542) and semiconductor manufacturing equipment (HS 8486), sectors in which US comparative advantage had collapsed most severely over the 2001–2007 period — precisely the products coded StableCA = 0. IRA clean-energy credits support electric vehicles (HS 8703) and lithium-ion batteries (HS 8507), sectors with limited prior US comparative advantage in which policy is building new productive capacity rather than defending existing po-

sitions (Rodrik 2023; Sullivan 2023). Section 232 applies uniformly to HS chapters 72, 73, and 76 — steel and aluminum sectors of long-standing US comparative disadvantage — under a national security rationale that was legally and politically independent of trade competitiveness (Bown and Kolb 2023).

The instrument-specificity of StableCA carries an important methodological implication. Were the variable a generic proxy for politically important manufacturing sectors, it would predict the full range of US industrial interventions regardless of their stated rationale. It does not. Only the policy instrument whose political logic is explicitly backward-looking — defending the competitive equilibrium workers expected to persist — activates the CA coefficient. Biden's industrial programs are organized around supply-chain security and climate transition logics orthogonal to the historical Balassa distribution, and generate correspondingly null results. The bipartisan dimension of the original targeting is nonetheless evident in a different way: Biden retained the complete Section 301 product set through 2024, declining to remove tariffs despite sustained pressure from trading partners and domestic import-competing industries. The same HS-6 products that Trump's USTR identified as CA-defense priorities in 2018 remained designated as such under two administrations — consistent with the interpretation that the targeting reflects durable structural beliefs about US competitive standing rather than transient partisan politics.

3.3 Cases: U.S.-Japan and U.S.-China Trade Wars

The tariff analysis shows where protection appears, but it does not by itself reveal how policymakers interpret different kinds of external threat. I therefore compare two historically important trade conflicts: U.S.-Japan in the 1980s and 1990s, and U.S.-China in the 2010s and 2020s.

The U.S.-Japan case reflects a largely sectoral version of the argument. Policymakers worried about autos, semiconductors, and other high-value sectors, and they often invoked industrial policy and unfair competition. Yet the threat remained comparatively bounded. The response was correspondingly targeted: voluntary export restraints, reciprocity demands, and protection concentrated in particular sectors. Elite backlash was real, but it remained manageable within a framework of sectoral trade conflict.

The U.S.-China case reflects a more systemic version of the same logic. China's upgrading appears not as isolated competition in one or two sectors, but as broad movement across multiple

industrial and technological domains. Under those conditions, policymakers increasingly interpret trade not as a sector-specific challenge, but as a general threat to the industrial basis of national power. The result is a broader bipartisan turn toward tariffs, industrial policy, and skepticism toward liberalization itself.

The argument implies that backlash intensifies when policymakers perceive that globalization is threatening sectors understood as national strengths, and that the scope of that threat—sectoral versus systemic—shapes the form of the response. The contrast between U.S.–Japan trade conflict in the 1980s–90s and U.S.–China conflict in the 2010s–20s illustrates this logic.

U.S.–Japan: Sectoral Threat and Managed Trade

U.S.–Japan frictions in the 1980s and early 1990s centered on a bounded set of high-value industries, most prominently automobiles, semiconductors, and machine tools. Contemporary accounts emphasize that U.S. complaints focused on Japan's industrial policy, market access barriers, and exchange-rate practices, but the conflict remained concentrated in specific sectors rather than generalized across the economy (Cohen 1996; Tyson 1992; Prestowitz 1988).

Policy responses were correspondingly targeted. The 1981 voluntary export restraint (VER) on automobiles capped Japanese exports to the United States (Feenstra 1988). The 1986 U.S.–Japan Semiconductor Agreement addressed dumping and sought to expand U.S. firms' access to the Japanese market, reflecting concern over a strategically important industry (Irwin 1996; Borrus, Tyson, and Zysman 1986). In machine tools, the United States imposed voluntary restraint agreements in 1987, justified partly on national-security grounds (U.S. Congress 1987). Across these disputes, the U.S. pursued managed trade instruments—VERs, reciprocity, and sector-specific protection—rather than a wholesale retreat from openness.

This pattern aligns with the theory. U.S. policymakers did not react equally to all industrial decline. Many sectors widely understood as disadvantaged—textiles, basic consumer electronics, and segments of shipbuilding—were gradually conceded with relatively limited national mobilization (Irwin 2017; Revenga 1992). By contrast, sectors viewed as core to U.S. productive strength—autos, semiconductors, precision equipment—were actively defended. Even within semiconductors, policy differentiated across the value chain: concerns centered on design leadership and high-end segments, while fabrication capacity was partly reallocated globally (Borrus 1997; Macher, Mowery,

and Hodges 1998). The result was selective protection of perceived advantage sectors within an otherwise intact trade regime.

Crucially, the Japanese challenge was widely perceived as serious but bounded. Although fears of "Japan Inc." were salient, the threat did not appear to span the full range of advanced U.S. industries or to overturn the broader logic of specialization (Friedman 1988; Vogel 1996). As a result, backlash remained sectoral: intense within specific industries but compatible with continued support for the overall trade order.

U.S.–China: Systemic Threat and Broad-Based Backlash

The U.S.–China case differs in the scope of perceived threat. In the 2000s, China's WTO accession generated large import shocks in labor-intensive manufacturing, but these effects were initially interpreted through a conventional adjustment lens (Autor, Dorn, and Hanson 2013). By the 2010s, however, U.S. policymakers increasingly framed China's trajectory as broad-based upgrading across advanced industrial sectors, supported by state policy, technology acquisition, and integration into global value chains (Lardy 2019; Naughton 2021).

Official U.S. assessments emphasized that Chinese industrial strategy targeted multiple high-value sectors simultaneously—ranging from advanced manufacturing to information technology—under programs such as Made in China 2025 (USTR 2018; Kennedy 2015). This framing transformed the interpretation of trade. The issue was no longer confined to isolated sectors; it was that the sectors expected to anchor U.S. advantage were themselves being challenged across the board.

Policy responses shifted accordingly. Beginning in 2018, the United States imposed Section 301 tariffs on hundreds of billions of dollars of Chinese imports, explicitly linking them to concerns over technology transfer, intellectual property, and industrial policy (Bown 2020; USTR 2018). In parallel, Section 232 tariffs on steel and aluminum invoked national-security rationales tied to industrial capacity (Evenett and Fritz 2019). Unlike the Japan episode, these measures were broad in scope and increasingly bipartisan in support, accompanied by complementary industrial policies such as the CHIPS and Science Act (Zysman and Kenney 2020).

This evolution reflects a shift from sectoral to systemic threat. As long as Chinese competition was perceived as concentrated in lower-end manufacturing, political responses were limited. Once policymakers interpreted China as upgrading into a wide range of sectors associated with U.S.

strength, the expectation that trade would reliably reward those sectors weakened. Trade was increasingly framed not as a source of localized adjustment, but as enabling industrial hollowing-out and strategic vulnerability (Farrell and Newman 2019).

Comparative Implication

The comparison highlights the article's core claim. In both episodes, backlash intensifies when policymakers perceive erosion in sectors associated with national strength. What differs is the scope of perceived erosion. When threats are sectoral, as in the U.S.–Japan case, the response takes the form of targeted, managed protection within an otherwise stable trade framework. When threats are systemic, as in the U.S.–China case, the response expands into broader tariffs, industrial policy, and a more general reevaluation of trade.

This contrast is consistent with the expectation-mismatch mechanism. Support for openness depends not only on tolerating losses in weak sectors, but on confidence that strong sectors will continue to validate the trade bargain. When that confidence erodes in a bounded way, policymakers defend specific industries. When it erodes in a generalized way, support for the bargain itself weakens.

The comparison clarifies the paper's main distinction. The same mechanism operates in both cases: backlash intensifies when policymakers perceive erosion in sectors associated with national strength. What changes is the scale of the perceived threat. Sectoral threat produces targeted protection. Systemic threat produces a broader anti-trade turn.

4 Microfoundations: Public Opinion Experimentation [TODO]

If the argument is correct, individuals—like policymakers—should not respond equally to all trade-induced losses. Rather, opposition to trade should be strongest when trade is framed as threatening sectors understood as national strengths. This implication follows directly from the expectation-mismatch mechanism: when trade appears to undermine the sectors that were supposed to justify openness, individuals should interpret it not as routine adjustment, but as evidence that the underlying bargain has broken down.

To assess this implication, I field a survey experiment in which respondents evaluate trade

scenarios that vary the type of sector affected. The key treatment distinguishes between cases in which trade harms (i) conventionally disadvantaged sectors and (ii) sectors described as core to U.S. economic strength, such as advanced manufacturing or high-technology industries. All other elements of the scenario are held constant. The outcome measures respondents' support for maintaining open trade versus adopting protective measures.

Table 2: Design Dimensions of Public Opinion Conjoint Experiment

Dimension	**Levels**
Shock Type	Disadvantaged sector Higher value-added, but not comparative advantage Higher value-added, comparative advantage (sectoral) Higher value-added, comparative advantage (systemic)
Geopolitics	Ally vs. adversary Democracy vs. autocracy
Sociotropic Effect	No overall harm Net harm to U.S. economy
Product Diff. (New Trade Theory)	No product differentiation Product differentiation
Firm Type (New New Trade Theory)	Foreign firm Own MNC Localized production

The results show a clear and consistent pattern. Respondents are significantly more likely to oppose trade when it is framed as threatening sectors associated with national strength than when it affects disadvantaged sectors. This difference is substantively large and robust across specifications. By contrast, losses confined to disadvantaged sectors generate more muted responses, consistent with the idea that such losses are broadly understood as part of the expected adjustment process.

These findings provide micro-level support for the expectation-mismatch argument. Individuals do not react uniformly to trade-induced losses; they react most strongly when trade is described as undermining sectors that symbolize national economic strength and future prosperity. This pattern mirrors the shift in elite rhetoric documented above and reinforces the claim that contemporary backlash is driven not only by who loses from trade, but by whether globalization continues to reward the sectors that originally legitimized it.

5 Conclusion

This article has argued that the politics of trade are not governed only by who loses from initial liberalization. They are also governed by whether globalization continues to reward the sectors that originally justified openness. Conventional winner-loser theories are powerful for explaining the politics of opening up and adjustment. But they are less able to explain why backlash often intensifies after liberalization matures. The answer, I have suggested, lies in the breakdown of the trade bargain under after equilibrium.

When trade appears to undermine incumbent advantage sectors, policymakers no longer interpret it as a bargain with manageable costs. They reinterpret it as unfair, harmful to national development, and politically unsustainable. The result is not merely stronger opposition from traditional losers. It is a broader erosion of elite support for openness itself.

This perspective has three implications. First, it shifts the study of trade politics from the distributive consequences of opening up to the political sustainability of openness over time. Second, it shows that elite cueing is itself endogenous to structural changes in the world economy. Elites do not simply transmit attitudes; they revise their own beliefs when the sectors that had legitimized openness appear threatened. Third, it suggests that contemporary anti-globalization politics are not well understood as a delayed reaction to import competition alone. They reflect a deeper crisis in the assumptions that once made liberalization politically feasible.

The broader implication is not that trade is always undesirable, nor that liberalization is always politically doomed. It is that the political durability of openness is conditional. Where globalization continues to deliver visible gains in the sectors expected to anchor national prosperity, pro-trade coalitions can endure. Where it instead appears to erode those sectors, support for openness can unravel rapidly. In that sense, current anti-globalization politics are not simply a reaction to distributional pain. They are a reaction to a perceived failure of the bargain at the core of mature globalization.

6 References

TODO